India & Indonesia: From Shared Heritage to Shared Prosperity



FOREWORD

Indonesia occupies a distinctive and increasingly consequential position within Asia's economic landscape. As Southeast Asia's largest economy and the world's largest archipelagic state, endowed with the world's leading nickel reserves, a young and expanding consumer base of nearly 285 million people, and a fast-growing digital economy, the country holds substantial long-term potential across critical minerals, manufacturing, energy, digital services and agriculture. At the same time, a layered regulatory environment, uneven infrastructure beyond Java, and structural dependence on commodity cycles temper the pace at which this potential translates into realised opportunity, shaping a landscape where genuine promise and genuine friction sit closely together.

India and Indonesia share a longstanding relationship rooted in historical, cultural and strategic ties, most recently reaffirmed through President Prabowo Subianto's visit to India in January 2025 and Prime Minister Modi's State Visit to Indonesia in July 2026, which opened cooperation across critical minerals, pharmaceuticals, digital payments, renewable energy, agriculture and defence-adjacent manufacturing. Trade between the two countries has historically centred on Indonesian exports of coal, palm oil and base metals against Indian exports of refined petroleum, pharmaceuticals, engineering goods and agricultural inputs. Bilateral trade has in fact moderated over the past two years from its 2022–23 peak, concentrated in a coal trade now under structural pressure, while direct investment in both directions remains modest relative to the scale of that trade. The underlying complementarities between the two economies nonetheless remain intact: India's manufacturing, pharmaceutical and digital-services strength alongside Indonesia's resource base and consumer scale continue to offer a durable foundation for deeper engagement. This paper takes care to present these linkages as they stand today, distinguishing established patterns from areas of future potential.

Looking ahead, the paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Indonesia in a manner appropriate to current conditions — whether through sector-specific market intelligence, structured business matchmaking, or institutional dialogue with BKPM, Danantara and KADIN Indonesia that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Indonesia's economy, its major sectors, and the opportunities and constraints shaping India-Indonesia economic engagement, serving as a reference for CCI India's engagement with the Embassy, Indonesian stakeholders, and Indian companies assessing the market.



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INDONESIA

> Explore islands where nature and culture exist in perfect harmony. Every moment reflects tradition, spirituality, and breathtaking landscapes.



Basic Facts and Culture

Indonesia, officially the Republic of Indonesia, stands as the world's largest archipelagic state, comprising over 17,380 islands, and is strategically positioned in Southeast Asia. It is the world's fourth most populous country, with an estimated population of approximately **284.44 million in mid-2025.** The nation's official language is **Indonesian.**

Its culture is a vibrant and complex mosaic, deeply influenced by centuries of interaction with Indian, Chinese, Arab, and European traders. The historical and cultural connection with India is profound, dating back to ancient kingdoms that embraced Hinduism and Buddhism, evidenced by architectural marvels like Borobudur and Prambanan, and the strong legacy of Sanskrit and Indian epics in the Indonesian language and traditions.

Economy, GDP, and Currency

Indonesia is the largest economy in the Association of Southeast Asian Nations (ASEAN) and a prominent member of the G20. The economy is a mixed structure, heavily reliant on domestic consumption and the commodity sector.

- **GDP (Nominal):** While the projected Nominal GDP for the full year 2025 approaches **$1.45 trillion**, the Gross Domestic Product (GDP) growth rate is generally positive, with Q3 2025 recording a Year-on-Year (Y-o-Y) growth of 5.04%. The World Bank revised its 2025 GDP growth outlook upward to **4.8%,** with other forecasts ranging around 5.11**%.**
- **Currency:** The official currency is the **Indonesian Rupiah (IDR or Rp).**
- **Economic Ties:** The economy is heavily characterized by resource extraction and processing, making it a crucial global supplier of commodities.

Culture and Heritage

The culture and heritage of Indonesia are rich and diverse, shaped by thousands of islands and many ethnic groups. The country is known for its traditional dances, colorful festivals, and unique art forms such as batik and wood carving. Ancient temples like Borobudur and Prambanan reflect Indonesia's deep historical and spiritual roots. Traditional music such as gamelan plays an important role in cultural celebrations. Indonesian cuisine, with dishes like Nasi Goreng, also represents the nation's cultural identity.

Bilateral Trade Target (2025): The two countries have set an ambitious target to achieve a **US$ 50 billion** trade volume by 2025. Recent Trade Figures: Bilateral trade reached US$28.15 billion in FY2024-25 . While full-year 2025 figures are pending, monthly data from September 2025 shows India's total trade with Indonesia was approximately **$2.30 billion** (Exports: $412M, Imports: $1.89B for the single month). Indonesia remains India's second-largest trading partner in the ASEAN region. India typically maintains a significant trade deficit with Indonesia due to large-scale commodity imports.

Key Players in India-Indonesia Import and Export

The trade composition reflects Indonesia's role as a major commodity supplier and India's strength in manufacturing and petroleum products.



Major Imports by India from Indonesia (Key Players): India is one of the world's largest buyers of Indonesian commodities. Leading Commodities: Coal, Coke, and Briquettes (e.g., $6.327 billion in 2024, representing over 30% of exports to India), and Palm Oil (representing nearly 20% of exports to India and is vital for India's food security and biofuel needs). Other Key Imports: Ferroalloys, Stainless Steel, Rubber, Minerals, and Pulp & Paper.

Major Exports from India to Indonesia (Key Players): o Leading Commodities: Refined Petroleum Products (historically a top export), Motor Vehicles/Automobiles (e.g., commercial vehicles and parts), Iron and Steel products, Pharmaceuticals, and Bovine Meat. o Other Key Exports: Engineering Goods, Cereals, Telecommunication Equipment, Animal Feed, and Plastics.

The economic ties are expanding into strategic sectors. The two nations are actively encouraging investment in infrastructure (ports, power plants, railways), pharmaceuticals, automotive components, and IT/bio-technology. The robust bilateral relationship is institutionally supported by diplomatic missions in both countries.

- **Embassy of India in Jakarta, Indonesia:** The Embassy serves as the primary diplomatic and commercial mission in the capital, located at Gama Tower, Jl. HR.
- **Embassy of the Republic of Indonesia in New Delhi, India:** Indonesia's diplomatic representation is situated in New Delhi, India, working to enhance political, economic, and socio-cultural relations.

1. COUNTRY PROFILE

1.1 Basic Country Information

The Republic of Indonesia (Republic Indonesia) is Southeast Asia's largest economy and the world's largest archipelagic state, comprising more than 17,000 islands spread across three time zones. It is a presidential republic with a directly elected president and a bicameral legislature (the People's Consultative Assembly, comprising the House of Representatives/DPR and the Regional Representative Council/DPD). President Prabowo Subianto took office in October 2024, succeeding Joko Widodo.

Indicator	Detail
Official name	Republic of Indonesia
Capital	Jakarta remains the national capital as of September 2026. Nusantara (IKN) is the designated future capital, but the formal transfer of capital status has not yet taken effect because the required Presidential Decree has not been issued.
Political system	Presidential republic; multi-party democracy
Administrative structure	38 provinces, further divided into regencies (kabupaten) and cities (kota)
Currency	Indonesian Rupiah (IDR)
National language	Bahasa Indonesia is the national and official language; 706 regional languages are also spoken.
Population	284.67 million (2025, SUPAS 2025)
Geography	Archipelago of more than 17,000 islands.
Major islands	Java, Sumatra, Kalimantan (Indonesian Borneo), Sulawesi, Papua
Major cities	Jakarta, Surabaya, Bandung, Medan, Semarang, Makassar and Palembang
Time zones	Three zones: WIB (UTC+7), WITA (UTC+8) and WIT (UTC+9).
ASEAN membership	Founding ASEAN member since 8 August 1967; largest economy in Southeast Asia
Major international membership	United Nations, G20, WTO, APEC, ASEAN, BRICS (full member since 6 January 2025; first ASEAN country to become a full BRICS member), OECD accession candidate (accession discussions opened in February 2024; Accession Roadmap adopted in March 2024; Initial Memorandum submitted in June 2025), Non-Aligned Movement, OIC.

1.2 Economic Profile

Indonesia is Southeast Asia's largest economy and the world's 16th–17th largest by nominal GDP. Growth has been steady rather than spectacular: the IMF's January 2026 Article IV consultation put growth at 5.0% for 2025 and 5.1% for 2026, while the World Bank's December 2025 Indonesia Economic Prospects report also anchored growth around 5.0% for 2025–27. A subsequent IMF World Economic Outlook update (April 2026) trimmed the global growth outlook to 3.1% for 2026citing disruption to energy supply chains from an active conflict affecting shipping route sand correspondingly nudged Indonesia's 2026 forecast toward 5.0%, while the Asian Development Bank remained more optimistic at 5.2%. The government's own target is more ambitious, at 5.4% for 2026, rising to a stated aspiration of 5.6%. For a CCI reader, the practical takeaway is that Indonesia's growth path is consistently in the 5.0–5.2% band across independent forecasters solid, but well short of the 7%+ pace the government has periodically targeted to reach high-income status by its "Indonesia Emas 2045" (Golden Indonesia 2045) milestone.

Indonesia crossed into upper middle-income status in 2023 (World Bank classification), with GNI per capita of roughly US$4,810 that year still well below the approximately US$14,000 high-income threshold. GDP per capita is estimated at approximately US$5,082 in 2025 and US$5,362 in 2026 (IMF-linked estimates). Inflation has been well anchored within Bank Indonesia's target range, enabling the central bank to cut policy rates by a cumulative 150 basis points through 2025 to support domestic demand.

Structurally, Indonesia's economy remains driven by domestic consumption (private consumption is the largest component of GDP), supplemented by investment and, increasingly, downstream resource processing exports. Manufacturing contributes under a fifth of GDP and has been broadly flat as a share of the economy for over a decade long-standing policy concern that motivates the government's "down streaming" (hilirisasi) strategy. Services, including a fast-growing digital economy, account for the largest and fastest-growing share of GDP. Indonesia's digital economy, measured by gross merchandise value, is the largest in ASEAN as of 2025, though the World Bank's December 2025 report flags uneven internet quality, rural connectivity gaps and an under-built data-center and regulatory ecosystem as constraints on realizing its full potential.

Urbanization continues at a steady pace (over half of Indonesians now live in urban areas), and the middle class commonly estimated in the range of 50–60 million people with a much larger "aspiring middle class" behind it anchors a large and increasingly digitally connected consumer market of nearly 285 million people, the fourth largest in the world. This combination of scale, steady growth and rising household purchasing power creates a substantial long-term market for Indian goods, services, technology and investment. For CCI, the opportunity is therefore less about short-term growth arbitrage and more about establishing durable sector-specific business linkages in a large, expanding economy.

1.3 Trade Profile

Indonesia has historically run persistent trade surpluses, underpinned by commodity exports coal, palm oil, and (increasingly) processed nickel and base-metal products. Non-oil-and-gas exports, led by mineral fuels, vegetable oils and iron and steel, dominate the export basket, even as commodity price volatility periodically compresses the trade surplus. China is Indonesia's largest single trading partner, followed by the United States, Japan, India and Singapore among others; the concentration of exports toward China is a recognized vulnerability, illustrated by a double-digit percentage decline in exports to China during a period of slowing Chinese demand in 2024. Indonesia is a founding participant in the Regional Comprehensive Economic Partnership (RCEP), which has improved its access to regional value chains, and is a party to the ASEAN Free Trade Area and the ASEAN–India Trade in Goods Agreement (AITIGA).

1.4 Investment Profile

Indonesia's investment climate is being reshaped by two developments of direct relevance to Indian companies: the creation of the sovereign wealth fund Danantara, and continued liberalization of foreign-investment rules under the Ministry of Investment and Downstream Industry / Investment Coordinating Board (BKPM). Danantara Indonesia (Daya Anagata Nusantara) was formed on 24 February 2025, consolidating the government's stakes in major state-owned enterprises under a single investment-management vehicle, led by Rosan Roeslani (who concurrently serves as Minister of Investment/Head of BKPM) as CEO. As of 2026, Danantara is coordinating 18 downstream industrial projects worth approximately Rp 600 trillion (~US$34 billion), with nickel processing as the center piece, and has outlined plans to deploy roughly US$13.1 billion across four priority areas, waste to energy, data centers, chemicals and agriculture. For CCI and Indian investors, Danantara is emerging as a key counterparty and potential co-investment partner for large projects, alongside BKPM as the regulatory gatekeeper.

Total investment realization reached IDR 1,931.2 trillion in full-year 2025 (101.3% of the government's target, up 12.7% year-on-year), of which foreign direct investment (FDI) accounted for a substantial but declining share relative to domestic investment (PMDN); in Q3 2025, domestic investment (56.9%) outpaced FDI (43.1%) for the first time in several years, a signal of strengthening local capital markets. FDI itself grew 8.5% year-on-year in Q1 2026. The basic metals industry (driven by nickel and base-metal down streaming) has consistently been the top investment-receiving sector, followed by mining, transport/warehousing/telecommunications, and notably for Indian IT and digital-infrastructure companies' digital infrastructure and data centers, which ranked as the second-largest FDI-receiving sector in Q1 2026 (IDR 64.2 trillion, behind base metals at IDR 69.4 trillion).